

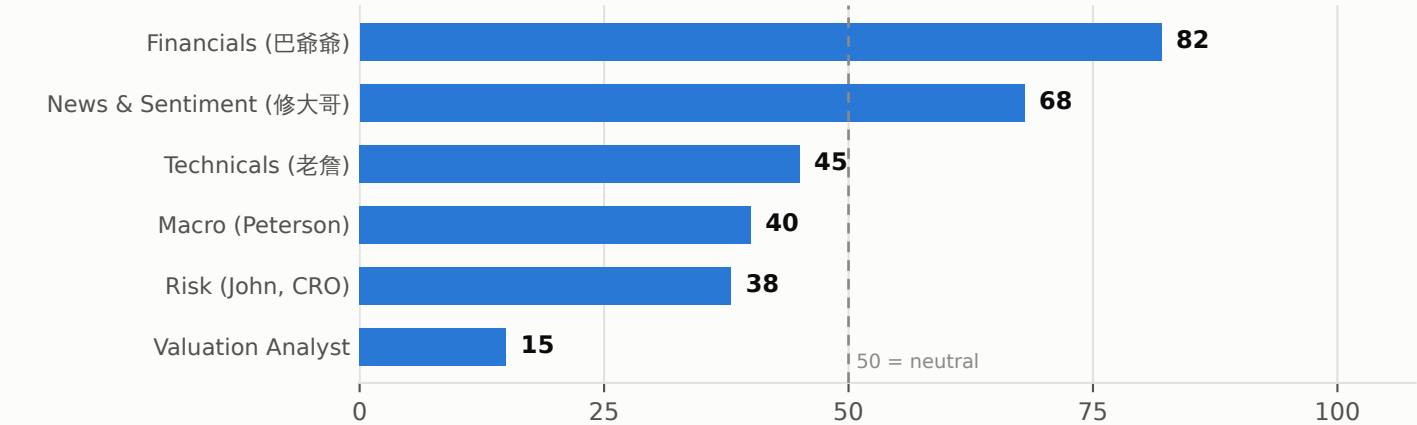
CEO VERDICT: WATCH — DO NOT BUY AT THIS PRICE

Price (17 Jul 2026)	Fall from high	Firm's fair value	Price vs fair value
\$806.46	−34%	\$250-400	+152% over

WHAT THE 12 AI DEPARTMENTS CONCLUDED, IN ONE SENTENCE
A superb business in the best quarter of its industry's history — at a price that already assumes the boom never ends.

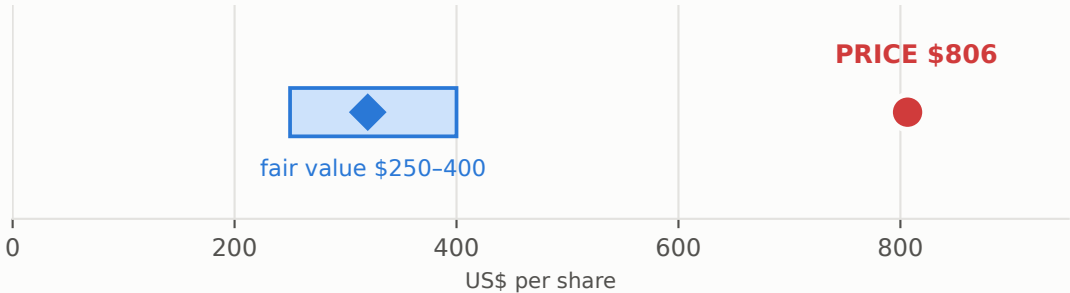
DEPARTMENT SCORECARD

Each AI department scored the idea out of 100. Lower = worse for buying at today's price.



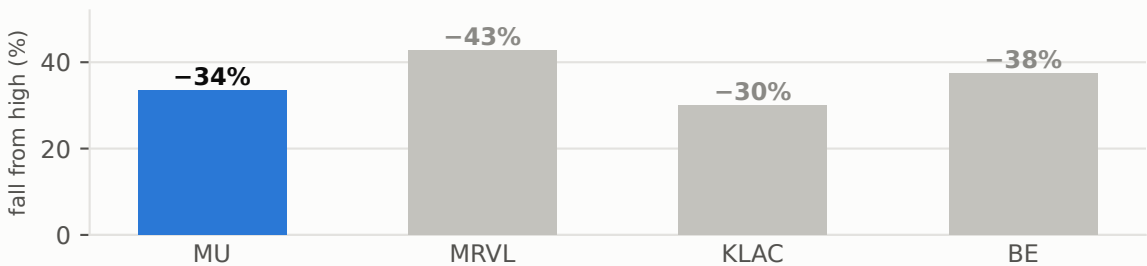
THE PRICE GAP

Blue band = what the firm thinks it is worth. Red dot = what it costs today.



HOW FAR IT HAS FALLEN

MU highlighted in blue; the other three names shown for context.



THE CASE FOR — what the agents found genuinely good

- Best numbers in memory-industry history: FQ3 revenue \$41.46B, up 345% year-on-year, with an 84.9% gross margin.
- \$18.3B of free cash flow in ONE quarter; balance sheet flipped to \$24.4B net cash.
- 2026 HBM output completely sold out under 16 take-or-pay contracts claiming ~\$100B of minimum revenue.
- Management (grade A–) has a proven record of cutting supply fast in downturns — they cut capex >40% in 2023.
- Industry desk is OVERWEIGHT memory (60% confidence): AI/HBM demand is real and contract-backed.

THE CASE AGAINST — why the firm is not buying

- Moat is NARROW and unproven through a downturn — memory was historically a no-moat commodity business (2023 ROIC was about –11%).
- Valuation is the killer: fair value \$250–400 vs a \$806 price. The price needs today's 85% margins to last forever.
- China's CXMT is approaching Micron's wafer capacity and will re-commoditise the non-HBM half of the business.
- Insider selling at the highest level since 2010; a celebrity short (Michael Burry) went public at \$1,051.
- The tape is in genuine distribution — 3 straight heavy selling days, closing at the low.

WHAT WOULD CHANGE THE ANSWER — the tripwires to watch

- Price entering \$780–805, but only on a daily close back above \$830 (do not buy the touch).
- Deeper zone \$680–705 (the 61.8% retracement) if \$775 breaks.
- Q4-2026 HBM contract repricing — the single biggest fundamental tripwire.
- CXMT's DDR5 yields, and the US export-rule decision on HBM.

RISK OFFICER'S RULING (John, CRO — holds veto power)
APPROVED WITH CONDITIONS — max 6.5% of portfolio

QUALITY CONTROL — what the AI Auditor caught (AI 管理層)

11 of 12 reports passed. The market-structure report FAILED on a bad price feed (claimed dip-buying that never happened) and was corrected and re-issued.